IC Memo
Primo Brands Corporation (PRMB — NYSE)

Recommendation & Investment Thesis

Recommendation: BUY 1L Term Loan B

Primo Brands is a defensible branded beverage credit built around recurring non-discretionary hydration demand, consistent free cash flow generation, and a recently refinanced capital structure with no near-term secured maturity pressure. The company operates the leading North American branded water platform following the November 2024 BlueTriton / Primo Water merger, with a portfolio of regionally dominant spring water brands including Poland Spring, Pure Life, Arrowhead, Deer Park, and Ice Mountain distributed across retail, direct delivery, exchange, and refill channels. While merger integration costs continue to suppress reported free cash flow and leverage remains elevated relative to branded consumer staples peers, the business maintains stable demand characteristics, strong liquidity, and a credible deleveraging path through synergy realization and normalization of integration spend.

Recommendation is BUY on the First Lien Term Loan B (Ba3/BB, 6.10% YTW, 100.85 price, March 2031 maturity). The TLB offers the best relative value in the capital structure: first lien secured positioning at effectively equivalent carry to the unsecured stack, floating-rate exposure that preserves current income, and materially stronger recovery protection with only modest sacrifice in yield. The March 2026 refinancing extended secured maturities to 2031 without incremental leverage, and the facility currently trades modestly above par with healthy secondary liquidity and multi-dealer quote depth, reflecting stable lender demand rather than refinancing stress. At current pricing, the investment case is fundamentally a carry and deleveraging story rather than a distressed recovery thesis. Re-underwrite to PASS if 2026 free cash flow materially underperforms guidance, leverage trends back above 4.0x, or integration execution deteriorates beyond current expectations.

Summary Deal Information

Company	Primo Brands Corporation	Corporate Rating/Outlook	B1/BB- (Moody's Pos / S&P Stable)
HQ Location	Tampa, FL / Stamford, CT	Facilities Ratings (recovery)	Ba3/BB (Secured) / B3/B (Unsecured)
Industry	Branded Beverage / Healthy Hydration	Yield to Maturity	6.10%
Sponsor	Public (One Rock Capital Partners ~32% voting)	LTM Period	LTM Q1'26
Purpose	Secondary Market — BlueTriton / Primo Water Merger	Net Sales (mm)	$ 6,676.40
Lead Agent	Morgan Stanley (Term Loan administrative agent)	LTM Adj. EBITDA (mm)	$ 1,411.30
Spread + Floor	S+275bps / 0.50% floor (Term Loan)	LTM Adj. EBITDA Margin	21.1%
OID / Price	100.00 (refinanced at par 3/31/2026)	1st Lien Leverage	2.0x
Maturity	3/31/2031	EBIT/Interest	2.3x
Primary/Secondary Market	Secondary	LTM Adj. EBITDA-Capex/Int.Coverage	3.1x

PF Capital Structure ($mm)	Amount	LTM	Proj	LTV	Price	Spread	Interest	Maturity	YTW	Ratings
Revolver ($750mm)	-				100.00%	S+ 300bps	-	2/28/2030	6.56%	Ba3 / BB
1L Term Loan B	3090.0				100.85%	S+ 275bps	195.0	3/31/2031	6.10%	Ba3 / BB
6.250% Sr Notes due April 2029	712.8				99.75%	Fixed	44.6	4/1/2029	6.34%	B3 / B
3.875% Sr Notes due Oct 2028 (€441.9mm)	500.6				99.90%	Fixed	19.4	10/31/2028	3.92%	B3 / B
4.375% Sr Notes due April 2029	717				97.38%	Fixed	31.4	4/30/2029	5.35%	B3 / B
Total Debt (Ex. Leases)	**5,020.4**	**3.6x Net 3.4x**	**3.4x**	**38%**			**290.3**			
Less: Debt issuance Costs/Discounts	(52.1)									
Plus: Capitalized Leases (Long Term + Short Term)	168.2									
Total Debt	**5,136.5**			**39%**						
Less: Cash	(288.2)									
Net Debt	**4,848.3**	**3.4x**	**3.3x**	**36%**			**290.3**			
Equity Value	8,480.1									
Enterprise Value	**13,328.4**	**9.4x**	**8.9x**							
PF Adj. EBITDA		1,411.3	1,490.0							
Capex		(419.9)	(271.9)							
Cash Interest		(322.7)	(290.3)							
Taxes		(60.4)	(63.8)							
Changes in NWC		(35.9)	(35.9)							
Other CFO		(247.0)	(247.0)							
FCF		**325.4**	**581.1**							

	LTM		Projected	
	Secured	Total	Secured	Total
LTV	38%	39%	38%	39%
EBITDA/Interest	4.4x	4.4x	5.1x	5.1x
(EBITDA-Capex)/Interest	3.1x	3.1x	4.2x	4.2x
FCF(debt)	6.5%	6.3%	11.6%	11.3%

Summary Financials

	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	4,698.7	5,152.5	6,664.0	6,676.4	6,797.3
% Growth	-	*9.7%*	*29.3%*	*0.2%*	*1.8%*
Adj. EBITDA	783.6	995.0	1,446.8	1,411.3	1,490.0
Acq. Adjustments	-	-	-	-	-
PF Adj. EBITDA	783.6	995.0	1,446.8	1,411.3	1,490.0
Capex	(203.6)	(150.2)	(377.4)	(419.9)	(271.9)
Cash Interest	(288.1)	(339.6)	(326.5)	(322.7)	(290.3)
Taxes	(25.1)	(33.3)	(64.6)	(60.4)	(63.8)
Change in NWC	(107.8)	126.5	(114.2)	(35.9)	(35.9)
Other CFO	(41.7)	(284.8)	(261.2)	(247.0)	(28.1)
FCF	117.3	313.6	302.9	325.4	800.0
Acquisitions, Net	(17.1)	(50.7)	(29.1)	(91.7)	-
Sale of Assets	-	-	-	-	-
Change in Debt	69.0	274.8	(36.4)	(21.8)	-
Equity Transactions, Net	(230.2)	(624.3)	(562.1)	(480.0)	(474.2)
Stock Buyback	-	-	-	-	-
Other CFF	(1.1)	(13.4)	(33.5)	(30.4)	(19.6)
Change in Cash	(62.1)	(100.0)	(358.2)	(298.5)	306.3
FCF Yield	0.9%	2.4%	2.3%	2.4%	6.0%
Total Debt	-	5,028.1	5,157.9	5,155.3	5,155.3
Cash	-	614.4	376.9	288.2	288.2
Net Debt	-	4,413.7	4,781.0	4,867.1	4,867.1
Net Debt / EBITDA	-	4.4x	3.3x	3.4x	3.3x
Total Debt / EBITDA	-	5.1x	3.6x	3.7x	3.5x
EBITDA - Capex / Interest	2.0x	2.5x	3.3x	3.1x	4.2x

Business Overview

Primo Brands Corporation is a North American branded beverage company focused on healthy hydration, formed through the November 2024 combination of Primo Water Corporation and BlueTriton Brands. The company operates the largest branded water platform in North America across four distribution channels: Retail, Direct Delivery, Exchange, and Refill. The portfolio includes regionally dominant spring water brands Poland Spring, Arrowhead, Deer Park, Ice Mountain, Ozarka, and Zephyrhills alongside purified water brands Primo Water and Sparkletts and premium offerings Saratoga and Mountain Valley. Products are distributed across more than 200,000 retail locations and supported by a vertically integrated coast-to-coast manufacturing and distribution network with over 80 spring sources.

Demand is largely non-discretionary and tied to recurring household and commercial hydration consumption rather than discretionary spending, supporting relatively stable revenue visibility across economic cycles. Revenue is diversified across channels, brands, formats, and geographies, limiting dependence on any individual customer, banner, or product category. The merger integration remains ongoing through 2026, with management guiding to meaningful synergy realization and normalization of one-time integration costs over the next several quarters. The business generates solid free cash flow with moderate capital intensity, although near-term deleveraging remains dependent on successful execution of integration initiatives and delivery of guided 2026 adjusted free cash flow improvement.

Bansi Patel, CFA | Not investment advice

Investment Risks and Strengths

Investment Strengths

• Leading North American branded water platform with regionally dominant spring water brands including Poland Spring, Arrowhead, Deer Park, Ice Mountain, Ozarka, and Zephyrhills supported by broad consumer recognition and entrenched retail distribution
• Non-discretionary recurring demand profile tied to daily hydration consumption rather than discretionary spending, supporting relatively stable revenue visibility across economic cycles
• Diversified four-channel distribution model across Retail, Direct Delivery, Exchange, and Refill reduces dependence on any individual customer, banner, or consumption occasion
• Vertically integrated coast-to-coast manufacturing and distribution network with 80+ spring sources creates a high-cost, operationally intensive asset base that is difficult to replicate and supports long-term pricing power
• Solid free cash flow generation capacity with management guiding to ~$800M Adj. FCF in 2026 as integration costs normalize and merger synergies build
• First Lien Term Loan B offers 6.10% YTW at 100.85 price with first lien secured positioning and materially stronger recovery protection than unsecured alternatives at comparable carry
• March 2026 refinancing extended secured maturities to 2031 without incremental leverage, reducing near-term refinancing risk and demonstrating continued lender support
• Floating-rate structure preserves current income and provides rate flexibility across different rate environments
• Term Loan trades modestly above par with healthy secondary liquidity and multi-dealer quote depth, reflecting stable lender demand rather than refinancing stress
• Secured stack remains conservatively positioned at approximately 2.0x first lien leverage with substantial enterprise value cushion supporting recovery expectations across moderate stress scenarios
• Strong liquidity profile with ~$1.04B total liquidity consisting of ~$288M cash and a fully undrawn $750M revolver
• Revolver maintenance covenant only tested when drawn, limiting near-term covenant pressure while revolver remains undrawn

Investment Risks

• Gross debt remains elevated at ~$5.2B with deleveraging dependent on successful realization of merger synergies and normalization of integration costs through 2026
• Investment thesis is execution-dependent, with management guidance implying substantial free cash flow improvement from current LTM levels that still requires operational delivery
• Integration complexity remains meaningful following the BlueTriton / Primo Water merger, particularly across route optimization, manufacturing footprint integration, and direct delivery operations
• Direct Delivery channel remains exposed to slower office occupancy recovery and evolving workplace consumption patterns that could pressure higher-margin delivery volumes
• Capex intensity remains elevated relative to traditional asset-light beverage peers due to vertically integrated spring, bottling, and distribution infrastructure requirements
• EBITDA margins remain below long-term branded beverage peer levels and require continued synergy realization to support the projected deleveraging trajectory
• One Rock Capital Partners maintains significant voting control and could pursue capital allocation decisions that prioritize sponsor returns over creditor interests
• First Lien Term Loan currently trades above par, limiting upside potential given issuer refinancing flexibility and standard 101 soft-call protection through September 2026
• Floating-rate exposure could pressure interest coverage if benchmark rates move materially higher from current levels, though current coverage remains well above covenant thresholds
• Unsecured debt stack remains sizable and will require successful refinancing in 2028-2029, with market access dependent on sustained deleveraging execution and stable operating performance
• Consumer packaged beverage industry remains competitive with large-scale participants including Coca-Cola, PepsiCo, and private label alternatives competing across pricing, shelf space, and distribution
• Category growth remains relatively low-single-digit, limiting ability to materially outgrow leverage through topline expansion alone and placing greater importance on operational execution and cash flow conversion

Re-Rating Triggers

BUY on the First Lien Term Loan B maintained. Increase conviction at any of the following:

• Net leverage sustained below 3.0x for two consecutive quarters demonstrating clear deleveraging execution and improving balance sheet flexibility
• Integration costs substantially roll off with 2026E Adj. EBITDA delivery at or above the $1,490M midpoint, confirming synergy realization and normalization of cash conversion
• 2026 Adj. FCF trends toward the ~$800M guided run-rate, supporting accelerated debt reduction and reinforcing the deleveraging path
• Management formally prioritizes debt reduction over incremental M&A, shareholder returns, or sponsor-oriented capital allocation
• TLB reprices modestly wider despite stable operating performance, creating incremental spread and carry within the secured stack

Re-underwrite to PASS at any of the following:

• Net leverage trends sustainably above 4.0x on EBITDA underperformance, operational disruption, or incremental debt-funded M&A
• Revolver becomes meaningfully drawn for operating liquidity rather than temporary working capital management or investment purposes
• 2026E Adj. FCF materially underperforms the ~$800M guidance range, suggesting integration normalization and synergy capture are weaker than expected
• Retail spring water volumes weaken materially, indicating fundamental category deterioration rather than temporary integration-related disruption
• Integration execution deteriorates through 2026, resulting in sustained margin pressure, delayed synergy realization, or elevated restructuring costs
• TLB reprices materially tighter above current levels, limiting incremental total return potential relative to underlying refinancing and call risk

Conclusion

Primo Brands is a fundamentally stable consumer credit supported by recurring hydration demand, scaled distribution infrastructure, and consistent free cash flow generation following completion of the BlueTriton / Primo Water merger. The core underwriting question is not demand durability but execution: management's ability to convert integration normalization and synergy realization into sustained deleveraging over the next 12 to 24 months. Current leverage remains elevated for a branded beverage issuer, but the March 2026 refinancing materially reduced near-term secured maturity risk and the company retains strong liquidity with an undrawn revolver and nearly $300M of balance sheet cash.

The recommended instrument is the First Lien Term Loan B (Ba3/BB, 6.10% YTW, 100.85 price, March 2031 maturity). The TLB offers the best relative value in the capital structure, providing first lien secured positioning at effectively equivalent carry to the unsecured notes while materially improving downside protection in a stress scenario. The facility recently refinanced at par and currently trades modestly above par, reflecting stable lender demand and healthy market access rather than refinancing stress. The investment case is principally a carry and deleveraging story rather than a spread compression or distressed recovery thesis. Floating-rate exposure supports current income and provides rate flexibility. Recovery support is strengthened by moderate first lien leverage, substantial enterprise value cushion, and stable branded consumer demand characteristics. BUY the First Lien Term Loan B.

Term Sheet Summary

Credit Facility

Borrower:	Primo Brands Corporation / Triton Water Holdings, Inc. / Primo Water Holdings Inc.
Credit Facility:	$750M RCF + $3,090M 1L Term Loan B + $712.8M 6.250% Sr Notes + $500.6M 3.875% Sr Notes (€441.9M) + $717.0M 4.375% Sr Notes
Guarantors:	Company + all material wholly-owned domestic restricted subsidiaries
Issue Date:	March 31, 2021 (Original) / March 31, 2026 (Fifth Amendment Refinancing)
Maturity Date:	March 31, 2031 (TLB) / February 28, 2030 (Revolver) / April 1, 2029 (6.250% Notes) / October 31, 2028 (3.875% Notes) / April 30, 2029 (4.375% Notes)
Applicable Margin:	S+275bps (Term Loan) / S+300bps (Revolver)
CSA:	-
Financial Covenants:	Max 5.0x First Lien Net Leverage (Revolver only, maintenance) / Min 2.0x Interest Coverage (Revolver only)
Floor:	0.50% SOFR floor
Term Loan Amortization:	1% per annum
Call Protection:	101 soft call for six months (expires 9/30/2026)

Industry Comps ($mm) — Large-cap bevera	Ticker	Price	YTD Price Chg	Market Cap	Total Debt	Cash & Equivalents	Minority Interest	Enterprise Value	Revenue LTM	EBITDA LTM	EBITDA Margin	Net Debt /EBITDA	TEV/ EBITDA
Coca-Cola Company	KO	$ 80.82	16.9%	347,727	43,890	10,574	2,101	383,144	49,284	16,719	33.9%	2.0x	22.9x
PepsiCo, Inc.	PEP	$ 149.12	4.8%	203,810	52,728	10,475	153	246,216	95,449	18,682	19.6%	2.3x	13.2x
								Median			**26.7%**	**2.1x**	**18.0x**
Primo Brands	PRMB	$ 23.18		8,480	5,155	288	-	13,347	6,676	1,411	21.1%	3.4x	9.5x

Debt Comps ($mm)	Borrower	Facility Ratings	Maturity	Spread	Amount Amount O/S	Market Market Price	Yield	EBITDA	Total Debt	Cash	Gross Leverage	Total Leverage
Energizer	Energizer Holdings	Ba1/BB	2/28/2032	Term S+ 225bps	760	100.50%	6.38%	536	3,315	173	6.2x	5.9x
Driven Brands	Driven Brands Holdings	B1/BB-	11/17/2028	L+ 325bps	500	99.42%	7.11%	352	2,214	162	6.3x	5.8x
Average						**99.96%**	**6.75%**				**6.2x**	**5.8x**
Median						**99.96%**	**6.75%**				**6.2x**	**5.8x**
Primo Brands	Primo Brands Corp.	Ba3 / BB	3/31/2031	S+ 275bps	3,090	100.85%	6.26%	1,411.3	5,155	288	3.7x	3.4x

Capital Structure

($ in millions)	Spread	Interest Rate	Maturity Date	Book Mar-26	Book Leverage	Book Gross Lev	Book FCF Yield	Book LTV	Interest Expense	Market Price	Callable	Call Price	Yield-to-Worst	Current Yield	Market Value	Market Leverage	Market FCF Yield	Market LTV	S&P/Moodys Credit
Revolver ($750mm)	S+ 300bps	6.56%	2/28/30	-					-	100.00%	-	-	6.56%	6.56%	-				Ba3 / BB
1L Term Loan B	S+ 275bps	6.31%	3/31/31	3,090.0					195.0	100.85%	3/31/26	101.00%	6.10%	6.26%	3,116.3				Ba3 / BB
Total First Lien Secured Debt				**3,090.0**	**2.0x**	**2.2x**	**11.6%**	**21.0%**	**195.0**						**3,116.3**	**2.0x**	**11.5%**	**21.2%**	
3.875% Sr Notes due Oct 2028	Fixed	3.88%	10/31/28	500.6					19.4	99.90%	10/31/25	100.00%	3.92%	3.88%	500.1				B3 / B
4.375% Sr Notes due Apr 2029	Fixed	4.38%	4/30/29	717.0					31.4	97.38%	4/30/26	100.00%	5.35%	4.49%	698.2				B3 / B
6.250% Sr Notes due Apr 2029	Fixed	6.25%	4/1/29	712.8					44.6	99.75%	4/1/26	100.00%	6.34%	6.27%	711.0				B3 / B
Total Senior Unsecured Debt				**1,930.4**	**2.0x**	**1.4x**	**11.6%**	**12.3%**	**95.3**						**1,909.3**	**2.0x**	**20.1%**	**12.1%**	
Total Debt (Ex. Leases)				**5,020.4**	**2.0x**	**3.6x**	**11.6%**	**35.5%**	**-**						**5,025.6**	**2.0x**	**6.9%**	**35.5%**	
Less: Debt issuance Costs/Discounts				(52.1)					-										
Plus: Capitalized Leases (Long Term + Short Term)				168.2					-										
Finance leases - Most Recent 10-K Opening Balance				########															
New Finance Lease Additions (Most Recent 10Q)				########															
Principal Payments on Finance Leases (Most Recent 10Q)				########															
Plus: Other				18.8					-										
Total Debt				**5,155.3**	**3.4x**	**3.7x**	**6.7%**	**36.5%**	**290.3**										
Plus: Equity Value				8,480.1															
Less: Cash and Cash Equivalents				(288.2)															
Total Enterprise Value				**13,347.2**	**9.5x**	**-**	**2.4%**												

Assumptions

Value Date	5/16/2026
SOFR	3.56%
SOFR Floor	0.50%
CSA	0.00%
Stock Price	$ 23.18
Revolver Size	750.0
Incremental Term Loan	0.0
ABL Borrowing Base	750.0
LC's Outstanding	0.0

Shares Outstanding

Common Stock	365.8390
Other Class Stock	0.0000
Warrants	0.0000
TSM Shares Outstanding	0.0000
Fully Diluted Shared	365.839
Date of Share Count	

2026 Guidance

Revenue Growth (Low)	1.00%
Revenue Growth (High)	3.00%
Adj. EBITDA (Low)	$ 1,465
Adj. EBITDA (High)	$ 1,515
Capex Guidance	4.00%
Adj. FCF Guidance (Low)	$ 790
Adj. FCF Guidance (High)	$ 810
Most Recent Quarter	3/31/2026
Last Updated	5/16/2026

Financial Summary

Summary	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	4,698.7	5,152.5	6,664.0	6,676.4	6,797.3
Acquisitions	-	-	-	-	-
PF Revenues	4,698.7	5,152.5	6,664.0	6,676.4	6,797.3
EBITDA	783.6	995.0	1,446.8	1,411.3	1,490.0
Acquisitions	-	-	-	-	-
PF EBITDA	783.6	995.0	1,446.8	1,411.3	1,490.0
Capex	(203.6)	(150.2)	(377.4)	(419.9)	(271.9)
1st Lien Int.	(288.1)	(339.6)	(326.5)	(322.7)	(290.3)
2nd Lien Int	-	-	-	-	-
Senior Int	-	-	-	-	-
Taxes	(25.1)	(33.3)	(64.6)	(60.4)	(63.8)
Change in NWC	(107.8)	126.5	(114.2)	(35.9)	(35.9)
Other CFO	(41.7)	(284.8)	(261.2)	(247.0)	(28.1)
FCF	117.3	313.6	302.9	325.4	800.0
FCF Yield	*0.9%*	*2.3%*	*2.3%*	*2.4%*	*6.0%*
EBITDA Margin	*16.7%*	*19.3%*	*21.7%*	*21.1%*	*21.9%*
% of debt	*3.8%*	*10.1%*	*9.8%*	*10.5%*	*25.9%*

Quarterly Summary

	Q4'25	Q1'26
Revenue	1,554.1	1,626.1
Adj. EBITDA	334.1	306.0
Margin	*21.5%*	*18.8%*
Capex	(145.8)	(104.5)
Adj, FCF	104.7	50.2
Actual FCF	57.3	(0.7)
Uses of Cash		
Acq./Div.	(14.8)	(24.5)
Debt Change	(9.1)	6.9

Liquidity

Revolver	750.0
Less: Drawn	-
Less:LC's	0.0
Revolver Available	750
Cash	288.2
Total Liquidity	1038.2

Back-Up Data ($ in Millions, December 31 FY End

	FY 2023	Q1'24	Q2'24	Q3'24	Q4'24	FY 2024	Q1'25	Q2'25	Q3'25	Q4'25	FY 2025	Q1'26	LTM
Income Statement													
Revenue	$4,698.7	$1,135.8	$1,314.4	$1,305.1	$1,397.2	$5,152.5	$1,613.7	$1,730.1	$1,766.1	$1,554.1	$6,664.0	$1,626.1	$6,676.4
yoy growth	-	-	-	-	-	*9.7%*	*42.1%*	*31.6%*	*35.3%*	*11.2%*	*29.3%*	*0.8%*	*18.6%*
COGS	(3,346.7)	(790.3)	(884.6)	(888.9)	(967.1)	(3,530.9)	(1,092.7)	(1,189.2)	(1,237.9)	(1,124.0)	(4,643.8)	(1,161.2)	(4,712.3)
Gross Profit	$1,352.0	$345.5	$429.8	$416.2	$430.1	$1,621.6	$521.0	$540.9	$528.2	$430.1	$2,020.2	$464.9	$1,964.1
% Margin	*28.8%*	*30.4%*	*32.7%*	*31.9%*	*30.8%*	*31.5%*	*32.3%*	*31.3%*	*29.9%*	*27.7%*	*30.3%*	*28.6%*	*29.4%*
SG&A	(924.2)	(218.7)	(256.3)	(239.7)	(335.9)	(1,050.6)	(327.8)	(378.6)	(343.0)	(341.0)	(1,390.4)	(336.7)	(1,399.3)
Acquisition, Integration and RX Expenses	(16.9)	(5.8)	(13.2)	(10.0)	(175.1)	(204.1)	(39.8)	(49.7)	(44.2)	(33.8)	(167.5)	(20.8)	(148.5)
Other Operating Expenses	(4.9)	3.8	(1.3)	(9.0)	(0.1)	(6.6)	(0.2)	0.2	5.4	(1.7)	3.7	30.6	34.5
Plus: Other One-Time Charges	70.6	17.4	24.4	28.5	222.4	292.7	47.7	95.7	83.1	94.2	320.7	17.1	290.1
Adjusted EBIT	$476.6	$142.2	$183.4	$186.0	$141.4	$653.0	$200.9	$208.5	$229.5	$147.8	$786.7	$155.1	$740.9
% Margin	*10.1%*	*12.5%*	*14.0%*	*14.3%*	*10.1%*	*12.7%*	*12.4%*	*12.1%*	*13.0%*	*9.5%*	*11.8%*	*9.5%*	*11.1%*
Plus: Depreciation & Amortization	305.7	75.2	74.3	77.8	106.0	333.3	128.6	145.3	163.1	173.2	610.2	141.0	622.6
Plus: SBC	1.3	0.3	0.3	0.3	7.8	8.7	12.0	12.9	11.9	13.1	49.9	9.9	47.8
Adjusted EBITDA	$783.6	$217.7	$258.0	$264.1	$255.2	$995.0	$341.5	$366.7	$404.5	$334.1	$1,446.8	$306.0	$1,411.3
% Margin	*16.7%*	*19.2%*	*19.6%*	*20.2%*	*18.3%*	*19.3%*	*21.2%*	*21.2%*	*22.9%*	*21.5%*	*21.7%*	*18.8%*	*21.1%*
yoy Growth	-	-	-	-	-	*27.0%*	*56.9%*	*42.1%*	*53.2%*	*30.9%*	*45.4%*	*(10.4%)*	*45.4%*
Cash Flow													
IS Interest Expense	(288.1)	(79.9)	(86.2)	(85.7)	(87.8)	(339.6)	(82.1)	(81.9)	(83.1)	(79.4)	(326.5)	(78.3)	(322.7)
IS Taxes, Net	(25.1)	(11.4)	(18.3)	(18.5)	14.9	(33.3)	(17.7)	(16.3)	(26.4)	(4.2)	(64.6)	(13.5)	(60.4)
CF Def Interest/Debt Related	13.5	3.5	4.5	4.5	5.9	18.4	6.1	7.6	8.2	7.9	29.8	8.8	32.5
CF Def Taxes	(40.5)	(17.3)	(12.9)	(13.4)	(34.5)	(78.1)	(2.6)	1.8	6.5	(51.9)	(46.2)	3.7	(39.9)
CF Change In Working Capital	(107.8)	(91.0)	(29.7)	120.1	127.1	126.5	(150.3)	(45.4)	37.5	44.0	(114.2)	(72.0)	(35.9)
Adjusted FCF before Capital Expenditures	335.6	21.6	115.4	271.1	280.8	688.9	94.9	232.5	347.2	250.5	925.1	154.7	984.9
CF Capital Expenditures	(203.6)	(23.5)	(41.1)	(32.3)	(53.3)	(150.2)	(62.0)	(53.9)	(115.7)	(145.8)	(377.4)	(104.5)	(419.9)
Adjusted Free Cash Flow	132.0	(1.9)	74.3	238.8	227.5	538.7	32.9	178.6	231.5	104.7	547.7	50.2	565.0
IS One-Time Items	(70.6)	(17.4)	(24.4)	(28.5)	(226.2)	(296.5)	(72.4)	(82.7)	(103.2)	(77.2)	(335.5)	(36.0)	(299.1)
CF One-Time Items	55.9	1.8	11.5	19.0	39.1	71.4	16.3	5.2	39.4	29.8	90.7	(14.9)	59.5
CF from Operations	320.9	6.0	102.5	261.6	93.7	463.8	38.8	155.0	283.4	203.1	680.3	103.8	745.3
Capital Expenditures	(203.6)	(23.5)	(41.1)	(32.3)	(53.3)	(150.2)	(62.0)	(53.9)	(115.7)	(145.8)	(377.4)	(104.5)	(419.9)
Free Cash Flow	117.3	(17.5)	61.4	229.3	40.4	313.6	(23.2)	101.1	167.7	57.3	302.9	(0.7)	325.4
Acquisitions/Divestitures	(17.1)	(21.2)	(6.2)	(9.0)	(14.3)	(50.7)	38.1	(12.1)	(40.3)	(14.8)	(29.1)	(24.5)	(91.7)
Other CFI	3.1	3.0	(0.3)	0.2	666.6	669.5	0.7	15.4	11.9	40.6	68.6	18.0	85.9
Changes in Debt/Other Debt Payments	69.0	410.7	(68.3)	(59.7)	(7.9)	274.8	(7.7)	(10.5)	(9.1)	(9.1)	(36.4)	6.9	(21.8)
Equity Transactions	(230.2)	(382.7)	-	-	(241.6)	(624.3)	(156.6)	(135.6)	(110.1)	(159.8)	(562.1)	(74.5)	(480.0)
Distribution to NCI	-	-	-	-	-	-	-	-	-	-	-	-	-
Other CFF	(1.1)	(5.9)	(1.5)	(2.3)	(3.7)	(13.4)	(16.5)	(7.9)	(9.0)	(0.1)	(33.5)	(13.4)	(30.4)
Change in Discontinuing Ops/FX	0.2	(0.3)	(0.1)	0.1	4.5	4.2	(2.2)	8.7	0.1	39.2	45.8	(0.5)	47.5
Change in Cash	(58.8)	(13.9)	(15.0)	158.6	444.0	573.7	(167.4)	(40.9)	11.2	(46.7)	(243.8)	(88.7)	(165.1)
Balance Sheet													
Net A/R	-	-	-	-	444.0	444.0	504.6	587.0	550.0	431.8	431.8	535.8	535.8
Total Revenues	4,698.7	1,135.8	1,314.4	1,305.1	1,397.2	5,152.5	1,613.7	1,730.1	1,766.1	1,554.1	6,664.0	1,626.1	6,676.4
Days A/R	-	-	-	-	29.0x	31.5x	28.5x	31.0x	28.4x	25.4x	23.7x	30.1x	7.3x
Net A/P and Accrued Expenses	-	-	-	-	1,233.8	1,233.8	1,131.8	1,236.0	1,251.4	1,189.8	1,189.8	1,229.8	1,229.8
Total Expenses	(4,270.9)	(1,009.0)	(1,140.9)	(1,128.6)	(1,303.0)	(4,581.5)	(1,420.5)	(1,567.8)	(1,580.9)	(1,465.0)	(6,034.2)	(1,497.9)	(6,111.6)
Days A/P and Accrued Expenses	-	-	-	-	(86.4x)	(98.3x)	(72.7x)	(71.9x)	(72.2x)	(74.1x)	(72.0x)	(74.9x)	(18.4x)
Cash and Cash Equivalents	-	-	-	-	614.4	614.4	449.7	412.0	422.7	376.9	376.9	288.2	288.2
Cash from Bond Offering	-	-	-	-	-	-	-	-	-	-	-	-	-
PP&E	-	-	-	-	2,083.9	2,083.9	2,045.3	2,045.4	2,064.6	2,185.5	2,185.5	2,160.3	2,160.3
Total Assets	-	-	-	-	11,194.5	11,194.5	10,982.0	11,049.2	10,956.1	10,602.8	10,602.8	10,590.4	10,590.4
Total Debt	-	-	-	-	5,028.1	5,028.1	5,044.6	5,092.6	5,086.9	5,157.9	5,157.9	5,155.3	5,155.3
Total Debt / EBITDA	-	-	-	-	19.7x	5.1x	14.8x	13.9x	12.6x	15.4x	3.6x	16.8x	3.7x
Shareholders Equity	-	-	-	-	3,444.2	3,444.2	-	3,246.2	3,160.0	2,992.6	2,992.6	2,957.2	2,957.2

Bansi Patel, CFA | Not investment advice